EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Santa Ana was created by virtue of Executive Order No. 289, signed by President Elpidio Quirino on October 21, 1949, which took effect on January 1, 1950.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Santa Ana for CY 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Santa Ana, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	965,125,647.79	952,354,287.24	12,771,360.55
Liabilities	319,748,542.30	320,780,153.36	(1,031,611.06)
Government Equity	645,377,105.49	631,574,133.88	13,802,971.61
Financial Performance			
Income	334,416,612.72	295,272,894.28	39,143,718.44
Expense	335,322,877.96	280,688,253.12	54,634,624.84
Net Income	(906,265.24)	14,584,641.16	(15,490,906.40)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Construction of Multi-Purpose Building (Phase-2)	P 57,910,527.02
Rehabilitation and Improvement of Old Wet Market	12,021,688.31
Rehabilitation and Improvement of Municipal Seedbank	1,332,281.25

Program/ Project/ Activity	Amount
Road Concreting of Rizal Street	1,365.187.50
Road Concreting of Villa Street	1,518,750.00
Completion of New Wet Market Building	20,998,004.09
Construction of Sewage Treatment Plant (STP) at Municipal Slaughter House	6,338,477.79
Concrete Pavement at Left Portion of Vegetable Section	1,578,000.00
Concrete Pavement at Left Portion of Vegetable Section	1,980,000.00
Construction of Santa Ana - Tourism Information and Pasalubong Center	2,075,000.00
Road concreting of Arellano Street	1,340,000.00
Road Concreting of Visitacion Road (from Palmera St. to Bonifacio) and Junction Pines Drive and Bonifacio Street	1,470,000.00
Construction of Three Classroom Building at Barangay Parada Batu	1,999,000.00
Total	**P110,561,728.46**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Santa Ana, Cagayan for the year-ended December 31, 2025 due to: (1) non-accrual of the accumulated earned and unused leave credits of permanent, casual and elective government personnel totaling to P45,299,032.90; (2) existence of unreconciled difference between the Property, Plant and Equipment (PPE) balance and the Report on Physical Count of Property, Plant and Equipment amounting to P91,990,688.76 and non-completion of the one-time cleansing procedures for its PPE and; (3) non-maintenance of complete subsidiary ledgers of the individual taxpayers of the Real Property Tax and Special Education Tax Receivables amounting to P74,012,728.65 and P73,751,494.07, respectively.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Various transactions of the Municipality totaling to P4,534,479.67 were erroneously charged to Other Maintenance and Operating Expenses (OMOE) account, thus, resulting in the overstatement of the OMOE account and understatement of the various nominal and permanent accounts in the Financial Statements.

   We recommended that the Local Chief Executive:

   a. Instruct the Municipal Accountant to draw the necessary journal entries to correct the balances of the OMOE account and the affected permanent accounts; and

b. Advise the Municipal Accountant to ensure that all transactions are recorded in the correct accounts in the general ledger in compliance with COA Circular No. 2015-009 dated December 1, 2015.

2. The reported balance of the Other Payables account in the Trust Fund amounting to P1,645,009.48 cannot be relied upon due to the inclusion of dormant balances and erroneously recorded transactions, thereby, affecting the fair presentation of the Financial Statements of the Municipality.

   We recommended that the Local Chief Executive:

   a. Instruct the Municipal Accountant to draw the necessary journal entries to record the settlement of disallowance and other transactions to their appropriate accounts;

   b. Require the Municipal Accountant to exert efforts in identifying the nature of the other long outstanding balances in the Other Payables account under the Trust Fund and prepare adjusting journal entries to present these transactions to their proper accounts; and

   c. Direct the Municipal Accountant to record all transactions of the Municipality to their appropriate accounts to ensure that the Financial Statements are fairly stated.

3. The reported balance of Breeding Stocks account amounting to P714,230.00 as at December 31, 2025 cannot be relied upon due to missing/unaccounted animals, thereby, affecting the fair presentation of the Financial Statements of the Municipality.

   We recommended that the Local Chief Executive:

   a. Issue a demand letter requiring the retired Officer in Charge (OIC) - Municipal Agriculturist to immediately account the animals distributed in the dispersal project and to submit the documents on the status thereto, otherwise, identify and hold persons liable for the value of the unaccounted animals;

   b. Require the Municipal Agriculturist to comply with the appropriate procedures in filing for a request for relief from property accountability to the Audit Team as provided in Section 73(1) of PD No. 1445 and Section 151, Rule 20, Title IV of the Rules and Regulations on Supply and Property Management in the Local Governments;

   c. Instruct the Municipal Accountant to take up necessary accounting entries to recognize in the books of accounts the loss of Breeding Stocks and, where appropriate, to set up the corresponding receivables from concerned accountable officers, if the aforecited animals were not accounted and the request for relief

from property accountability was not immediately filed with the Audit Team; and

d. Require the General Services Officer (GSO) to conduct regular physical count of Biological Assets and establish and maintain Property Cards for all assets under their custody, including animals, in accordance with Sections 114 and 124 of the Manual on the New Government Accounting System (NGAS) for Local Government Units (LGUs). These records must be regularly updated to reflect acquisitions, disposals and losses, ensuring reconciliation with the Accounting Unit's ledger.

G. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	P15,726,224.28	-	-	P15,726,224.28	-
Current Year	-	-	-	-	-
Total	**P15,726,224.28**	**-**	**-**	**P15,726,224.28**	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the fourteen (14) audit recommendations in the CY 2024 Annual Audit Report, five (5) were fully implemented and nine (9) were not implemented.